

Benjamin Graham and *Security Analysis*: The Historical Backdrop

by James Grant

“**I**t will simplify the Führer’s whole work immensely if he need not first ask somebody if he may do this or that,” the Associated Press quoted a Berlin informant on August 1, 1934, as saying of Adolf Hitler’s ascension to the presidency of Germany. Set against such epochal events, a 727-page textbook on the fine points of value investing—the first edition of *Security Analysis*, by Benjamin Graham and David L. Dodd—must have seemed an unlikely candidate for bestsellerdom, then or later.

In his posthumously published autobiography, *The Memoirs of the Dean of Wall Street*, Benjamin Graham (1894–1976) thanked his lucky stars that he had entered the investment business in 1914, when stocks, the coming thing, were still a speculative afterthought.¹ The timing seemed not so propitious in 1934. From its 1929 peak to its 1932 trough, the Dow Jones Industrial Average had lost 87% of its value. At cyclical low ebb in 1933, the national unemployment rate had topped 25%. That the Great Depression had ended in 1933 was the considered judgment of the timekeepers of the National Bureau of Economic Research. Millions of Americans, however—not least, the

¹ Graham, *The Memoirs of the Dean of Wall Street*, edited by Seymour Chatman (New York: McGraw-Hill, 1996), p. 142.